

LOAN AND SECURITY AGREEMENT

between Redwood Mechanical Supply, LLC and Cascade Harbor Bank, N.A.

Dated as of February 10, 2026

This LOAN AND SECURITY AGREEMENT (this "Agreement") is entered into as of February 10, 2026 by and between Redwood Mechanical Supply, LLC, a Oregon limited liability company ("Borrower"), with its principal place of business at 4820 SE Powell Industrial Way, Portland, OR 97206, and Cascade Harbor Bank, N.A. ("Lender"), with an office at 100 SW Front Avenue, Suite 900, Portland, OR 97204.

Borrower has requested that Lender make a term loan to Borrower in the principal amount of \$750,000.00, the proceeds of which will be used for the following purpose: purchase of CNC machining equipment and working capital. Lender is willing to make the Loan on the terms and subject to the conditions of this Agreement. In consideration of the mutual covenants below, the parties agree as follows:

ARTICLE 1 - DEFINITIONS AND CONSTRUCTION

1.1 Defined Terms. "Collateral" has the meaning given in Section 3.1. "Event of Default" has the meaning given in Section 6.1. "Loan" means the credit facility described in Section 2.1. "Loan Documents" means this Agreement, the Note, each financing statement, and every other agreement or instrument executed in connection with the Loan. "Obligations" means all principal, interest, fees, expenses and other amounts owing by Borrower to Lender under the Loan Documents. "Permitted Liens" means liens for taxes not yet delinquent and liens in favor of Lender. "UCC" means the Uniform Commercial Code as in effect in the State of Oregon.

1.2 Construction. Headings are for convenience only. The words "include" and "including" are not words of limitation. Terms used and not defined in this Agreement that are defined in the UCC have the meanings given in the UCC.

ARTICLE 2 - THE LOAN

2.1 The Loan. Subject to the terms of this Agreement, Lender agrees to make a term loan to Borrower in the principal amount of \$750,000.00. Borrower's obligation to repay the Loan is evidenced by a promissory note of even date (the "Note").

2.2 Interest. The unpaid principal balance of the Loan bears interest at a fixed rate of 7.25% per annum. Interest is calculated on the basis of a 360-day year for the actual number of days elapsed.

2.3 Repayment. Borrower shall repay the Loan in 84 consecutive monthly installments of principal and interest, each in the amount of \$11,411.39, due on the 10th day of each month commencing March 10, 2026. The entire unpaid principal balance and all accrued interest shall be due and payable on February 10, 2033 (the "Maturity Date").

2.4 Prepayment. Borrower may prepay the Loan in whole or in part at any time upon ten days' written notice to Lender, together with accrued interest on the amount prepaid. Partial prepayments are applied to installments in inverse order of maturity.

2.5 Late Charges; Default Rate. If any payment is not received within ten days after its due date, Borrower shall pay a late charge equal to five percent (5%) of the overdue amount. Upon an Event of Default, the Loan bears interest at a rate five percent (5%) per annum above the otherwise applicable rate.

2.6 Fees and Expenses. Borrower shall pay Lender an origination fee equal to one-half of one percent (0.50%) of the principal amount of the Loan on the date of this Agreement, and shall reimburse Lender on demand for all reasonable costs and expenses, including attorneys' fees, incurred in connection with the Loan Documents.

ARTICLE 3 - SECURITY INTEREST

3.1 Grant of Security Interest. As security for the prompt payment and performance of all Obligations, Borrower grants to Lender a continuing security interest in and lien upon all of Borrower's right, title and interest in the following property, wherever located, whether now owned or hereafter acquired (collectively, the "Collateral"):

- (a) all Equipment, machinery, vehicles, tools, furniture and fixtures, including the items listed on Schedule A, and all accessions, additions, replacements and substitutions;
- (b) all Inventory, including raw materials, work in process, finished goods and goods held for sale or lease;
- (c) all Accounts, chattel paper, instruments, notes and other rights to payment, and all Supporting Obligations;
- (d) and all proceeds, products, rents and profits of the foregoing, including insurance proceeds and all books and records relating to any of the foregoing.

3.2 Authorization to File; Perfection. Borrower authorizes Lender to file one or more financing statements and amendments, in any jurisdiction and with the Oregon Secretary of State, UCC Division, describing the Collateral in any manner Lender considers appropriate, including as "all assets". Borrower shall execute any further documents Lender reasonably requests to perfect and maintain the priority of its security interest.

3.3 Location of Collateral. The Collateral will be kept at Borrower's place of business at 4820 SE Powell Industrial Way, Portland, OR, except for vehicles and mobile equipment used in the ordinary course. Borrower shall give Lender thirty days' prior written notice of any change in its name, jurisdiction of organization, or chief executive office.

ARTICLE 4 - REPRESENTATIONS AND WARRANTIES

4.1 Organization; Authority. Borrower is duly organized, validly existing and in good standing under the laws of Oregon, and has full power and authority to enter into and perform the Loan Documents. The Loan Documents have been duly authorized and are the legal, valid and binding obligations of Borrower.

4.2 Title; Financial Statements; Litigation. Borrower owns the Collateral free and clear of all liens other than Permitted Liens. The financial statements delivered to Lender fairly present Borrower's financial condition as of their dates. No litigation or governmental proceeding is pending or, to Borrower's knowledge, threatened that could reasonably be expected to have a material adverse effect.

ARTICLE 5 - COVENANTS

5.1 Financial Reporting. Borrower shall deliver to Lender (a) annual financial statements within 120 days after each fiscal year end, (b) quarterly internal financial statements within 45 days after each fiscal quarter end, and (c) copies of federal income tax returns within 30 days after filing.

5.2 Insurance. Borrower shall maintain insurance on the Collateral against loss, theft and damage for its full replacement value, naming Lender as lender loss payee, and shall maintain general liability insurance in amounts reasonably satisfactory to Lender.

5.3 Financial Covenant. Borrower shall maintain a debt service coverage ratio of not less than 1.25 to 1.00, tested annually on the basis of Borrower's fiscal year-end financial statements.

5.4 Negative Covenants. Without Lender's prior written consent, Borrower shall not (a) create or permit any lien on the Collateral other than Permitted Liens, (b) sell, lease or otherwise dispose of any Collateral except inventory sold in the ordinary course, (c) merge or consolidate with any other person, or (d) incur additional indebtedness for borrowed money in excess of \$100,000 in the aggregate.

ARTICLE 6 - DEFAULT AND REMEDIES

6.1 Events of Default. Each of the following is an "Event of Default": (a) Borrower fails to pay any amount when due and the failure continues for ten days; (b) Borrower breaches any other covenant and the breach is not cured within thirty days after notice; (c) any representation proves to have been materially false when made; (d) Borrower becomes insolvent or commences or is subject to any bankruptcy or insolvency proceeding; or (e) a judgment exceeding \$100,000 is entered against Borrower and remains unsatisfied for thirty days.

6.2 Remedies. Upon an Event of Default, Lender may declare all Obligations immediately due and payable, and may exercise all rights and remedies of a secured party under the UCC, including taking possession of the Collateral, requiring Borrower to assemble the Collateral at a place designated by Lender, collecting accounts directly from account debtors, and selling the Collateral at public or private sale after reasonable notice. Lender's remedies are cumulative.

ARTICLE 7 - GENERAL PROVISIONS

7.1 Governing Law. This Agreement is governed by the laws of the State of Oregon, without regard to conflict of laws principles.

7.2 Notices. Notices must be in writing and are effective when delivered by hand or overnight courier, or three days after mailing by certified mail, to the addresses stated in the first paragraph of this Agreement.

7.3 Waiver of Jury Trial. EACH PARTY WAIVES ITS RIGHT TO A JURY TRIAL IN ANY ACTION ARISING OUT OF THIS AGREEMENT OR THE OTHER LOAN DOCUMENTS.

7.4 Entire Agreement; Counterparts. This Agreement and the other Loan Documents are the entire agreement of the parties on their subject matter and may be amended only by a writing signed by both parties. This Agreement may be signed in counterparts, each of which is an original.

IN WITNESS WHEREOF, the parties have caused this Agreement to be executed by their duly authorized representatives as of the date first written above.

BORROWER:

Redwood Mechanical Supply, LLC

By:  _____

Name: Marcus T. Hale

Title: Managing Member

Date: 02/10/2026

LENDER:

Cascade Harbor Bank, N.A.

By:  _____

Name: Dana K. Whitfield

Title: Senior Vice President

Date: 02/10/2026

SCHEDULE A

Description of Collateral

In addition to the property described in Section 3.1 of the Loan and Security Agreement dated February 10, 2026, the Collateral includes the following specific items of Equipment, together with all attachments, accessories and replacements:

Description	Serial / VIN	Est. value
CNC vertical machining center, 40-inch X-axis	SN 1138820	\$118,500
CNC turning center with live tooling	SN 3604417	\$96,200
Coordinate measuring machine, bridge type	SN 0027731	\$74,900
CNC vertical machining center, 42-inch X-axis	SN VM42-0916	\$131,000

Location of Equipment: 4820 SE Powell Industrial Way, Portland, OR 97206.